

²Many futures markets have daily limits on the maximum permissible price move. If there was a large imbalance between buyers and sellers, such as might occur after the release of a surprisingly bullish or bearish government report, the market would open locked at the limit price because the equilibrium price would be outside the limit range. For example, if the price was 60 cents/lb., and the government released a report that made the market think prices should be at 50 cents, the decline would occur in daily steps of 2 cents because of price limits. On the first day, there would be lots of sellers, but virtually zero buyers, so the price would open and stay at 58 cents with no trading. Of course, when a market is locked in a sequence of limit moves, there is no way of knowing what the new equilibrium price will be—that is, where the market will trade freely.